Transportation

One-page brief

Priority: 6 of 33 (score 3.7). **FY2026 outlays:** $125B (USAspending). **As of:** 2026-10-27. Public data only.

Bottom line

DOT's money flows mostly as highway, transit and airport grants to states, which then hire contractors. Its signature fraud is the Disadvantaged Business Enterprise (DBE) front: a certified small firm that passes work and money through to a large contractor. That is the same pattern as SBA 8(a) and set-aside fronts, so the SBA pipeline carries over directly. Bid rigging on highway lettings is the second pattern.

Exposure

- Over $125B a year in outlays, most of it federal-aid construction under the 2021 infrastructure law.
- DBE pass-through fraud is a recurring DOT OIG and DOJ case type, including criminal convictions and False Claims Act settlements.
- DOT does not report a high-risk improper payment program, so most exposure is procurement fraud that payment sampling does not see.

Public data we can use

- **USAspending grants and subawards** for FHWA, FTA and FAA.
- **State Unified Certification Program DBE directories:** certified firms, owners, addresses, work codes.
- **State DOT bid tabulations** (many states publish every bid per letting).
- **SAM.gov, FPDS** for direct DOT contracts.
- **DOT OIG and DOJ press releases** as labeled cases.

Detection plays

1. **DBE fronts:** certified firms that share addresses, phones or officers with their prime contractor, have no equipment or staff signals, or work almost only for one prime.
2. **Bid rotation:** bidders who take turns winning, submit complementary high bids, or share ownership across "competing" firms.

3. **Subaward anomalies:** DBE participation claimed on bids that never shows up in subaward reporting.

First prototype

A DBE integrity screen for two or three states with good public directories and bid tabs. Reuse the SBA entity-resolution code; rank firms with reasons; validate against charged DBE cases.

Limits

Prime-to-subcontractor payments are reported to states, not publicly, and data quality varies by state. Results point to firms worth review, not proof.

Who to take it to

DOT OIG, FHWA Office of Civil Rights, state DOT DBE offices, and DOJ's Procurement Collusion Strike Force.

Sources

- DOJ: Pennsylvania man convicted of exploiting the DOT DBE program
- DOJ: Ohio construction firm pays $500K over DBE False Claims Act allegations
- Troutman: continued prosecution of DBE pass-through cases
- USAspending agency profiles (FY2026 outlays)

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